



United States
Attorney's Office
Southern District of New York



Doctor Arrested For Multimillion-Dollar COVID-19 Insurance Scheme

Tuesday, July 1, 2025

For Immediate Release

U.S. Attorney's Office, Southern District of
New York

The Attorney for the United States, Acting under Authority Conferred by 28 U.S.C. § 515, Sean Buckley, and the Assistant Director in Charge of the New York Field Office of the Federal Bureau of Investigation ("FBI"), Christopher G. Raia, announced the arrest of ALI RASHAN on charges of health care fraud. As alleged in a five-count Indictment unsealed on June 25, 2025, RASHAN, a medical doctor, was the CEO and founder of ClearMD, a provider of COVID-19 testing services in New York City which fraudulently billed insurance companies for approximately \$24 million for COVID-19 testing and submitted fraudulent medical records in furtherance of this fraudulent scheme. RASHAN was presented before U.S. Magistrate Judge Barbara Moses on June 25 and the case has been assigned to Judge Paul A. Engelmayer.

“While New Yorkers were doing their best to get through a public health crisis, Ali Rashan was allegedly cashing in on it,” said Attorney for the United States Sean Buckley. “Our Office will not tolerate those who exploit the city’s pandemic response for personal profit.”

“Ali Rashan allegedly facilitated an elaborate scheme using fabricated medical records to steal more than \$24 million,” said FBI Assistant Director in Charge Christopher G. Raia. “This defendant allegedly violated his dual authorities as a medical doctor and CEO to receive reimbursement from thousands of illegitimate claims. The FBI remains dedicated to investigating any individual who selfishly exploits our health care system for their personal benefit.

According to statements made in court and publicly filed documents in this case:[\[1\]](#)

From at least 2021 until in or about 2023, RASHAN, the founder and owner of ClearMD, a provider of medical testing services, agreed to submit and caused to be submitted to insurers fraudulent claims

that billed for unperformed and unrequested services purportedly provided to patients who sought testing for COVID-19 and fraudulent medical records in support of these fraudulent claims. For example, RASHAN directed ClearMD to submit or cause the submission of thousands of claims that billed for evaluation and management ("E/M") services that were never performed. Furthermore, at times during the relevant period, RASHAN directed ClearMD to submit claims to insurers billing for two to four COVID-19 testing codes, even though ClearMD had administered only a single COVID-19 test to patients. Thereafter, in response to requests from insurers for documentation supporting its claims for reimbursement, RASHAN instructed ClearMD staff to write a software program to generate false medical records to support ClearMD's fraudulent billings. RASHAN directed ClearMD to submit these fabricated medical records to insurers to deceive them about the services that ClearMD had provided and to justify ClearMD's retention of amounts paid to ClearMD in response to fraudulent claims. This scheme resulted in losses of at least approximately \$24 million.

* * *

RASHAN, 41, of New York, New York, is charged with one count of conspiracy to commit health care fraud, which carries a maximum sentence of 20 years in prison; one count of health care fraud, which carries a maximum sentence of 10 years in prison; one count of wire fraud, which carries a maximum sentence of 20 years in prison; one count of conspiracy to make false statements, which carries a maximum sentence of five years in prison; and one count of false statements relating to health care matters, which carries a maximum sentence of five years in prison.

The maximum potential sentences in this case are prescribed by Congress and provided here for informational purposes only, as any sentencing of the defendant will be determined by the judge.

Mr. Buckley praised the outstanding investigative work of the FBI. Mr. Buckley also thanked the Office of Personnel Management's Office of Inspector General and the U.S. Department of Labor, Employee Benefits Security Administration for their assistance in this investigation.

The charges announced today are part of a strategically coordinated, nationwide law enforcement action that resulted in criminal charges against 324 defendants for their alleged participation in health care fraud and illegal drug diversion schemes that involved the submission of over \$14.6 billion in alleged false billings and over 15.6 million pills of illegally diverted controlled substances. The defendants allegedly defrauded programs entrusted for the care of the elderly and disabled to line their own pockets. In connection with this nationwide health care fraud takedown, the Government seized over \$245 million in cash, luxury vehicles, and other assets.

Descriptions of each case involved in today's enforcement action are available on the Department's website [here](#).

This case is being handled by the Office's Complex Frauds and Cybercrime Unit. Assistant U.S. Attorneys Rushmi Bhaskaran, Timothy Capozzi, and Jaclyn Delligatti are in charge of the prosecution.

The charges contained in the Indictment are merely allegations, and the defendant is presumed innocent unless and until proven guilty.

[1] As the introductory phrase signifies, the Indictment and the description of the Indictment set forth herein constitute only allegations, and every fact described should be treated as an allegation.

[u.s. v. rashan indictment.pdf](#)

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